

Tuck-in acquisitions to expand offerings and capabilities



Persistent Systems acquired assets of MediaAgility which is a global Cloud transformation services provider as a Google Cloud Premier Partner

- **Total purchase consideration at \$71.71 Mn** which includes **upfront payment of \$53.25 Mn, earnouts of \$17.75 Mn** over next 2 years and **Retention & Performance based payment of \$0.71 Mn** over next 2 years.
- Acquisition is at 2.8x TTM revenue
- MediaAgility is a global cloud transformation services provider with deep expertise in building scalable, cloud-based solutions as a Google Cloud Premier Partner. It provides cloud-native application development and modernization analytics and AI, cloud engineering, migrations, and managed services to its enterprise clients across the globe.
- MediaAgility had a consolidated revenue of US \$25.50M as on LTM December 2021. \$20.59M from services and \$4.91M net from reselling
- 500+ employees with Deep Google Cloud expertise with 7 partner specializations and 31 Google Cloud partner expertise designations
- 35+ enterprise service clients across US, India, UK, Mexico, and Singapore. 80% of revenue from long-term clients with more than 3-year relationship

Concall Highlights

- Main purpose of the acquisition to **Capture** high growth markets and **Bolster** existing capabilities
- Key verticals of MediaAgility include Financial Services and Insurance, Healthcare and Lifescience and Media, Entertainment and Gaming. Vertical presence is similar to Persistent which should deepen expertise while Customer overlap is minimal. This should aid in capturing new growth areas and cross-selling
- In terms of services, MediaAgility has a good balance of Engineering and Enterprise business – which aligns well with Persistent's set of services.
- Reselling business (19% of MediaAgility's revenues) has 16-17% margins. Overall margin profile of MediaAgility is accretive to Persistent's existing business
- Management plans to take on debt of \$25 Mn for the acquisition
- Expect EBIT margin impact of 45-50 bps in FY23
- Management indicated that its M&A agenda is achieved for the short term (6-8 months) at least as far as capabilities are concerned. In the short term, Persistent will only look at compelling acquisitions for geographic expansion.
- Persistent will be able to expand its footprint within 35+ new enterprise service clients and introduce its own solutions to Google Cloud marketplace

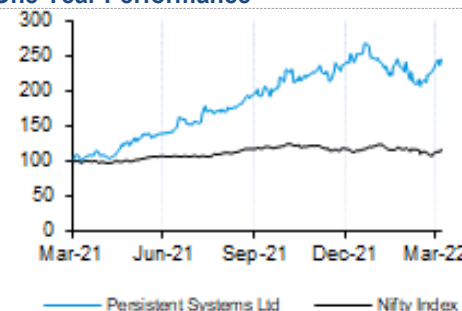
Rating	TP (Rs)	Up/Dn (%)
BUY	5292	20

Market data

Current price	Rs	4,412
Market Cap (Rs.Bn)	(Rs Bn)	343
Market Cap (US\$ Mn)	(US\$ Mn)	4,500
Face Value	Rs	10
52 Weeks High/Low	Rs	4,988/1,761
Average Daily Volume	('000)	219
BSE Code		533179
Bloomberg		PSYS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	31.26	31.26
Public	65.51	65.69
Othres	3.23	3.05
Total	100	100

Source: BSE

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- MediaAgility is a Google Cloud Premier Partner with 31 Google Cloud Partner Expertise, 7 Partner specializations, 380+ Google Cloud certifications and 550 Google Cloud Client engagements
- Services include Hybrid Multi-Cloud Transformation, AI and Machine Learning, Data Analytics, API management, Container Orchestration and Security and Identity

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21E	FY 22E	FY 23E	FY 24E
Net sales	35,658	41,879	56,812	75,070	84,345
EBITDA	4,923	6,830	9,527	11,605	13,996
Adjusted net profit	3,403	4,507	6,864	8,089	10,111
Free cash flow	1,630	5,670	5,651	2,790	9,582
EPS (Rs)	44.5	59.0	89.8	105.8	132.3
growth (%)	1%	32%	52%	18%	25%
P/E (x)	99.1	74.8	49.1	41.7	33.3
P/B (x)	99.1	74.8	49.1	41.7	33.3
EV/EBITDA (x)	67.7	48.0	34.1	28.5	23.2
ROCE (%)	10.2	14.1	18.7	18.1	18.7
RoE (%)	14.4	17.4	22.7	22.9	24.4
Dividend yield (%)	0.2	0.3	0.5	0.6	0.7

Source: Company

Valuation & Outlook

Based on our revised estimates, **Persistent is currently trading at 41.7x / 33.3x FY23e / FY24e EPS**. Acquisition of MediaAgility is in-line with Persistent's vision of presence across all Cloud service providers and offerings. Persistent now has a complete set of offerings and capabilities in the Cloud Solutions and Services – which is poised for strong growth over the next few years. We maintain our view that Persistent will continue to deliver growth in the leader's quadrant and therefore remains our top pick in the midcap space

Taking all the above factors into consideration, **we retain a BUY rating on the stock with a target price of INR 5,292 based on FY24e EPS estimates.**

Financial

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	35,658	41,879	56,812	75,070	84,345
Growth %	5.9%	17.4%	35.7%	32.1%	12.4%
Total Revenue	35,658	41,879	56,812	75,070	84,345
Employee Cost & Related Expenses	25,475	30,722	42,152	55,566	60,500
Miscellaneous Expenses	5,260	4,327	5,132	7,900	9,849
Total Operating Expenditure	30,735	35,049	47,284	63,465	70,349
EBITDA	4,923	6,830	9,527	11,605	13,996
Growth %	-10.6%	38.8%	39.5%	21.8%	20.6%
Less: Depreciation	1,660	1,756	1,643	2,153	2,381
EBIT	3,263	5,075	7,885	9,452	11,615
Growth %	-17.1%	55.5%	55.4%	19.9%	22.9%
Interest Paid	63	58	95	252	252
Non-operating Income	1,324	1,078	1,421	1,713	1,903
Profit Before tax	4,523	6,094	9,211	10,913	13,267
Tax	1,121	1,588	2,347	2,824	3,156
Net Profit	3,403	4,507	6,864	8,089	10,111
Adjusted Profit	3,403	4,507	6,864	8,089	10,111
Reported Diluted EPS Rs	44.5	59.0	89.8	105.8	132.3
Growth %	1.3%	32.4%	52.3%	17.8%	25.0%
Adjusted Diluted EPS Rs	44.5	59.0	89.8	105.8	132.3
Growth %	1.3%	32.4%	52.3%	17.8%	25.0%

Key Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA (%)	13.8%	16.3%	16.8%	15.5%	16.6%
NPM (%)	9.5%	10.8%	12.1%	10.8%	12.0%
RoE (%)	14.4%	17.4%	22.7%	22.9%	24.4%
RoCE (%)	10.2%	14.1%	18.7%	18.1%	18.7%
Tax Rate %	24.8%	26.1%	25.5%	25.9%	23.8%
Book Value Per share (Rs.)	312.2	365.8	426.7	498.5	588.2
Valuation Ratios					
P/E (x)	99.1x	74.8x	49.1x	41.7x	33.3x
EV/EBITDA	67.7x	48.0x	34.1x	28.5x	23.2x
P/BV (x)	14.1x	12.1x	10.3x	8.9x	7.5x
Market Cap. / Sales (x)	9.5x	8.1x	5.9x	4.5x	4.0x

Balance Sheet (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	764	764	764	764	764
Reserves & Surplus	23,093	27,192	31,846	37,331	44,186
Equity	23,858	27,957	32,610	38,095	44,950
Net Worth	23,858	27,957	32,610	38,095	44,950
Total Loans	407	760	760	5,260	5,260
Capital Employed	24,448	28,958	33,727	43,784	50,689
Assets					
Gross Block	7,370	7,885	8,885	15,814	16,814
Less: Depreciation	5,145	5,483	7,126	9,278	11,659
Net Block	2,225	2,401	1,759	6,536	5,155
Investments	5,311	4,089	4,355	4,659	4,862
Intangible Assets	1,661	1,315	1,784	6,841	6,841
Current Assets					
Sundry Debtors	5,922	5,709	7,782	10,284	11,554
Current Investments	5,165	6,375	7,386	9,008	10,121
Cash and Bank Balance	4,572	9,809	13,200	11,919	18,107
Total Current Assets	20,032	26,838	34,646	38,756	48,259
Less: Current Liabilities & Provisions					
Sundry Creditors	2,247	2,733	3,757	5,042	5,589
Total Current Liabilities & Provision	6,474	7,697	11,020	15,086	16,763
Capital Applied	24,448	28,958	33,727	43,784	50,689

Cash Flows (Consolidated)					
YE March (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	3,403	4,507	6,864	8,089	10,111
Add: Depreciation	1,660	1,756	1,643	2,153	2,381
Add: Interest Paid	63	58	95	252	252
Operating Profit before WC Changes	3,802	5,242	7,180	8,780	10,840
(Inc)/Dec in Current Assets	(1,250)	(359)	(3,406)	(3,768)	(2,203)
Inc/(Dec) in Current Liabilities	1,629	1,223	3,323	4,067	1,677
Net Cash Generated From Operations	4,181	6,107	7,097	9,079	10,315
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	20	(515)	(1,000)	(6,930)	(1,000)
Add: Non Operating Income Income	1,324	1,078	1,421	1,713	1,903
Cash Flow from Investing Activities	406	2,098	(728)	(11,083)	443
Cash Flow from Financing Activities					
Dividend Paid	(917)	(1,577)	(1,922)	(2,265)	(2,831)
Net Cash Flow from Financing Activities	(4,303)	(1,472)	(2,189)	1,716	(3,457)
Net Inc/Dec in cash equivalents	284	6,733	4,179	(288)	7,300
Opening Balance	6,724	4,572	9,809	13,200	11,919
Closing Cash Balance	7,008	11,305	13,988	12,912	19,220

Free Cash Flow Analysis					
	FY20	FY21E	FY22E	FY23E	FY23E
EBITDA	4,923	6,830	9,527	11,605	13,996
Add: Depreciation Tax Shield	411	457	419	557	566
Working Capital Changes	-2,604	485	-948	382	-824
Less: Inc in FC Investment	-20	515	1,000	6,930	1,000
Taxes Paid	1,121	1,588	2,347	2,824	3,156
Total Free Cash Flows	1,630	5,670	5,651	2,790	9,582

Source: Dalal & Broacha Research, Company

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